Testahil — Arabian Cement Company S.A.E. (EGX: ARCC) — revision 4

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

REVISION 3 CORRECTS THE PRICE PATH, WHICH THE AUDITED RECORD DISPROVED. Revision 2 reb
figure on the statements but left one forecast driver where revision 1 had put it: local realised price growing 3.0% in FY2026 against 11.5% cost inflation, and about 4% a year after that. The statements that just been read contradict it. FY2024: revenue +44.5% against total cash cost +41.8%. FY2025: revenue + against cash cost +12.5%, which is why the audited gross margin went 21.2% to 23.9% to 40.6%. Q1-2026 printed revenue +17.3% at a 42.9% gross margin against 40.6% for the full prior year — still WIDENING. every period the accounts cover, price outran cost. The old path also implied a producer unable to raise price even at the central bank's own 7% medium-term target, while the same model had utilisation RISING from 69.7% to 78.2% — volume gained and real price lost at once, two conservatisms stacked rather than judgement made. The path is recalibrated to 8.0% / 9.0% / 8.0% / 7.0% / 6.5%, still below the cost path in every year, and still producing FY2026 group revenue growth of about 10.7% against the 17.3% the first quarter actually ran. The cost path is UNCHANGED at headline inflation: the company's realised cost inflation ran below the national rate, but crediting that here would double-count the alternative-fuel saving already carried as its own driver. The EBITDA margin now glides from the audited 39.3% to about 34.3% by FY2030 rather than to 24.5% — still erosion, but erosion the record can support.

REVISION 2 BUILT THE STUDY ON THE AUDITED ACCOUNTS. Revision 1 was built without opening a s source document: every outbound request was refused by the network policy in force, so every company fi reached it as relayed in a web-search summary. The audited consolidated financial statements for FY2023 FY2024 and FY2025 — Deloitte, signed 25 February 2026 — and the reviewed Q1-2026 interim accounts a hand, and every historical cell in this workbook is a disclosed figure read from them.

WHAT THE STATEMENTS CHANGED, and it is not cosmetic:

* Non-controlling interests are EGP 158,005 — one hundred and fifty-eight THOUSAND pounds. Revision deducted EGP 150 MILLION on inference, 950 times too much.
* The effective tax rate is 23.82%, not the 29.43% revision 1 inferred. Every forecast year was over-taxed
* The cost of debt is about 7.5%, not 21.5%: 91% of the book is EURO-denominated, at Euribor plus 4.35 (a EUR 25mn EBRD decarbonisation facility) and Euribor plus 3% (a EUR 3.09mn NBE/KfW facility).
* Kiln capacity is 4.2Mt of clinker against 5.0Mt of cement, so the clinker factor is 0.84, not 0.72.
* Exports are 30.7% of revenue, not 12%. The revenue note splits local from export and goods from servi
* The cost stack is DISCLOSED. The invented five-line stack of revision 1 is retired for the printed one.

What survived: the share count of 374,867,445, FY2025 operating income of EGP 4,595.82mn to the pou total liabilities of EGP 4,140.99mn — which revision 1 derived, against an aggregator print of EGP 2,894 that it rejected. That figure turns out to be total CURRENT liabilities. The derivation was right.

IT IS FORMULA-DRIVEN, AND THAT CLAIM IS TESTED. Change a blue cell on Assumptions and the mod cost of equity is built from the risk-free rate NET of the sovereign default spread, beta and the premium; the cost of debt is built FACILITY BY FACILITY from the audited debt note and blended by currency; the weights come from debt and market capitalisation; the terminal rate is built from its own components; the glide fractions are derived from the pound cost-of-debt path; the discount factors compound through it; th waterfall chains from margin through EBITDA, D&A, EBIT, NOPAT, capex and working capital to free cash and present value; the terminal block chains from reinvestment = growth / return on capital; the statemen roll forward; and every ratio and per-share figure is a formula. A driver test perturbs every input in place, re-evaluates the whole workbook and confirms the headline moves in the right direction.

THREE CLASSES OF CELL ARE PASTED, and it is worth knowing exactly which.

1. Audited and disclosed history — the primary record, not a calculation. Where a line is both disclosed and derivable, the DISCLOSED figure is carried. These sit on Assumptions and are labelled there.
2. The output of a unit build that cannot survive being flattened into a grid: the percentile ladder of the probabilistic price map on the Monte Carlo sheet, the output of a 50,000-path simulation.
3. Whole-model re-runs — the sensitivity grids, and the alternative fair values in the contested-choices table. Each of those cells is a COMPLETE revaluation at a different assumption. THESE DO NOT REDR WHEN A DRIVER CHANGES. Edit an input and the unit build, waterfall, statements, ratios and all four lenses reprice; the sensitivity tables and the price map keep the values printed here.

Anything else pasted would be a defect, and the claim is AUDITED rather than asserted. Of the 306 paste cells: 136 are audited or disclosed history; 77 are genuine forecast drivers, which by definition have nothing to derive them from; 26 are the simulation ladder; 78 are whole-model re-runs. That is all 306, ar ZERO are derivable-but-pasted. Two rounds of review found cells that were: revision 3 held two rounded COPIES of figures derived elsewhere on the same sheet (the FY2025 utilisation and export share), and th expert panel on the Summary sheet was nine typed numbers. The copies are gone because revision 4 inve the build so the quantities are no longer derived at all; the panel is now nine FORMULAS, which also settles what it is — the same model at three parameter values, not three independent valuations.

HOW THE COMPANY IS VALUED. A single-segment cement operating company: two lines in Suez govern clinker capacity and 5.0Mt of cement, 60% owned by Aridos Jativa of Spain. No property leg, no lending b no concession. One operating-company lens, cross-read against relative multiples, normalised earnings po and replacement cost. Cash of EGP 3,459mn against interest-bearing debt of EGP 1,135mn makes it net ca that cash is stripped out of the discount rate and added back in the bridge, so it is priced once at face — less the EGP 2,002mn FY2025 dividend that was declared and still unpaid at 31 March 2026.

TWO THINGS TO KNOW BEFORE READING ANY NUMBER.

* FY2025 is a cyclical peak. The audited EBITDA margin went 22.0% to 23.1% to 39.2% across the three on the abolition of the production quota in May 2025. The forecast glides it down every year from there
* Book return on capital is 60.6% and replacement-cost return is 8.6%. The terminal block is struck on th REPLACEMENT figure. On the book number, growth would be free; it is not, and the difference is the si most consequential judgement in this model.

No rating and no price target. Fair-value ranges and distributions only.

Summary valuation table

Every value linked live from its own sheet.

Lens	Value per share (EG
DCF (cash flow)	**66.53**
Relative multiples	**45.65**
Asset / replacement cost	**65.57**
Normalised earnings	49.64
CENTRAL FAIR VALUE — the cash-flow lens, not a ble	**66.53**
Lowest of the three cross-checks	45.65
Highest of the three cross-checks	65.57
Market price, 2026-09-03	77.00
Market capitalisation (EGP mn)	28,865
RETIRED: the 50/20/22/8 blend this edition dropped	58.56
THE THREE-PANEL VALUATIONS	
	Low (EGP)
Expert 1 — Replacement-cost industrialist	55.50
Expert 2 — Mid-cycle earnings-power analyst	42.81
Expert 3 — Cash-return and distribution investor	57.02
Panel median	

Terminal value as a percentage of enterprise value is shown beside the cash-flow lens and l
live to the DCF sheet — it is never typed.

Role	Versus spot	Terminal value % of
PRIMARY — the central	(13.6%)	53.5%
cross-check	(40.7%)	—
cross-check	(14.8%)	—
DIAGNOSTIC — not a le	(35.5%)	
	(13.6%)	
	(40.7%)	
	(14.8%)	

weights nobody tested; kept visible, not used

Central (EGP)	High (EGP)	Versus spot
65.57	75.63	(14.8%)
49.64	56.47	(35.5%)
64.90	75.41	(15.7%)
64.90		(15.7%)

inks

EV

Asset lens, contested choices, and the terminal reconcil

ASSET / REPLACEMENT-COST LENS

Cement capacity (Mt/yr, audited note 1)
Replacement cost per annual tonne (USD)
Justified enterprise value per annual tonne (USD)
Discount to replacement cost
Implied enterprise value (EGP mn)
Plus net cash
Less non-controlling interests
Equity value
Value per share (EGP)
Memo: what the MARKET is paying per annual tonne (USD)
Memo: audited net book value of property and construction (EGP mn)
Memo: that book value per annual tonne (USD)

CONTESTED CHOICES — EACH COMPUTED, NOT ARGUED

Choice

Cost of debt: the POUND-EQUIVALENT cost of a euro debt book (adopted) vs the contracted euro rate

Beta: same-country peer median (adopted, tier 2) vs the own-stock regression against the EGX30 that is too weak to use: its R-squared of 0.047 leaves the slope indistinguishable from noise

Capex: economic maintenance in dollars per tonne (adopted) vs book depreciation

Column E holds whole-model re-runs — class 3 pasted cells. The EFFECT column is a liv

TERMINAL RECONCILIATION — NOW BUILDABLE, BECAUSE CA

Capital expenditure (audited)
Capex / EBITDA
Depreciation (audited)
Net reinvestment (capex less depreciation)
NOPAT
Reinvestment rate
Return on BOOK invested capital
Implied growth (return x reinvestment)
Character

Terminal return on capital, REPLACEMENT-COST basis
Terminal return on capital, BOOK basis (FY2025)
Terminal rate
Terminal growth adopted

On the BOOK basis the return on capital is far above the terminal rate and growth woulc
The book carries a plant built around 2010 at pre-devaluation historic cost. The terminal
struck on REPLACEMENT cost instead, where the return sits below the rate and growth
for. That single choice is the most consequential judgement in this model, and it is visibl

iation

	5.00
	130
	95
	(26.9%)
	23,893
	687
	-0.2161
	24,579
	65.57
	112.0
	2,914
	11.6

Adopted	Alternative	Fair value adopte
13.36%	7.89%	66.53
0.928	0.698	66.53
USD 3.23/t	book depreciation	66.53

e formula.

PEX IS DISCLOSED

FY2023	FY2024	FY2025
59	912	796
4.4%	45.1%	16.3%
250	257	290
(192)	655	507
809	1,359	3,501
(23.7%)	48.2%	14.5%
43.9%	44.3%	60.6%
(10.4%)	21.4%	8.8%
stable — self-funded	stable — self-funded	stable — self-funde

	11.3%
	60.6%
	18.3%
	7.0%

d be free.
l block is
. must be paid
e here.

Fair value alterna	**Effect**
66.64	0.2%
74.54	12.0%
70.62	6.2%

ed

Assumptions — every driver

Blue cells are inputs. Nothing below a driver is typed.

MARKET AND SHARE COUNT	
Spot price	77.00
Ordinary shares issued	378.7397
Treasury shares held	3.8723
Statutory tax rate	22.5%
Effective tax rate	23.82%
Beta (own-stock weekly regression)	0.928
USD/EGP at the valuation date	50.3
PLANT — AUDITED NOTE 1	
Cement capacity	5.00
Kiln clinker capacity	4.20
Clinker factor	0.733
EXPORT SPLIT — the one ratio the export leg needs; both prices come OUT	
Export clinker price as a fraction of export cement	0.650
Average USD/EGP FY2025	49.26
Services revenue as a share of goods revenue	6.33%
PATHS — FY2025A then FY2026E to FY2030E	
	FY2025A
Kiln utilisation (THE volume driver)	91.7%
Clinker sold as clinker, share of clinker made	33.8%
Cement exported, share of cement sold	17.7%
Cement stock draw (Mt)	0.073
Local price index	1.000
Export price index (USD)	1.000
USD/EGP path	49.3
Local cost-inflation index	1.000
Alternative-fuel saving on materials	-
FORECAST DRIVERS — FY2026E to FY2030E	
	FY2026E
Depreciation as % of revenue	2.5%
EGP marginal cost-of-debt path	20.6%
Yield earned on cash	15.0%
Maintenance capital expenditure	3.23
Change in working capital / change in revenue	12.0%
Dividend payout ratio	55.6%
COST OF CAPITAL	
Risk-free rate (EGP 10-year government)	22.95%
Sovereign default spread (netted out)	3.40%
Equity risk premium	9.41%
Euribor (EBRD and NBE reference rate)	2.49%
EGP marginal borrowing rate (corridor + 0.6%)	20.60%
Expected EGP depreciation against the euro	6.00%
Terminal cost of debt	15.00%

Terminal risk-free rate	12.50%
Terminal equity risk premium	7.00%
Terminal debt weight	20.0%
Terminal growth rate	7.0%
Elapsed fraction of FY2026 at the valuation date	0.500
AUDITED INCOME STATEMENT — PASTED CLASS 1 (EGP mn)	
FY2023 sales (net)	6,043
FY2024 sales (net)	8,730
FY2025 sales (net)	12,447
FY2023 cost of sales	4,760
FY2024 cost of sales	6,643
FY2025 cost of sales	7,389
FY2023 general and administrative expenses	184
FY2024 general and administrative expenses	268
FY2025 general and administrative expenses	384
FY2023 provisions charged	15
FY2024 provisions charged	56
FY2025 provisions charged	75
FY2023 expected credit losses	5
FY2024 expected credit losses	(1)
FY2025 expected credit losses	4
FY2023 profit before tax	930
FY2024 profit before tax	1,506
FY2025 profit before tax	4,725
FY2023 income tax	233
FY2024 income tax	346
FY2025 income tax	1,125
FY2023 attributable profit	697
FY2024 attributable profit	1,160
FY2025 attributable profit	3,600
FY2023 earnings per share	1.81
FY2024 earnings per share	3.02
FY2025 earnings per share	9.49
FY2023 depreciation and amortisation	250
FY2024 depreciation and amortisation	257
FY2025 depreciation and amortisation	290
FY2023 capital expenditure	59
FY2024 capital expenditure	912
FY2025 capital expenditure	796
FY2025 interest income	226
FY2025 other income	53
FY2025 finance costs	50
FY2025 foreign exchange differences	(102)
AUDITED REVENUE AND COST NOTES (EGP mn)	
FY2025 local sales of goods	8,350
FY2025 local services	282

FY2025 export sales of goods	3,356
FY2025 export services	459
FY2024 total local sales	4,883
FY2024 total export sales	3,846
FY2025 cost of sales — materials and fuel	5,698
FY2025 cost of sales — transportation	764
FY2025 cost of sales — overheads	641
FY2025 administrative depreciation	4
AUDITED BALANCE SHEET — PASTED CLASS 1 (EGP mn)	
Total assets FY2025	8,784
Total assets FY2024	5,849
Total assets FY2023	3,888
Total liabilities FY2025	4,141
Property, plant and equipment FY2025	2,522
Assets under construction FY2025	392
Intangible assets FY2025	107
Inventories FY2025	1,054
Trade receivables FY2025	244
Debtors and other debit balances FY2025	1,005
Cash and bank balances FY2025	3,459
Cash and bank balances FY2024	1,687
Cash and bank balances FY2023	561
Equity attributable to owners FY2025	4,643
Equity attributable to owners FY2024	2,303
Equity attributable to owners FY2023	1,754
Non-controlling interests FY2025	0.1580
AUDITED DEBT NOTE 25 (EGP mn)	
CIB credit facilities — EGP	100
National Bank of Egypt facility — EUR	146
EBRD facility — EUR	888
Lease liabilities	1
Total interest-bearing debt FY2024	761
Total interest-bearing debt FY2023	90
FY2025 loan interest expense	25
FY2025 credit-facility interest expense	23
FY2024 loan interest expense	3
FY2024 credit-facility interest expense	86
DIVIDENDS AND Q1-2026 (EGP mn)	
FY2025 dividend declared	2,002
FY2024 dividend approved and paid	1,102
Q1-2026 sales	2,996
Q1-2025 sales	2,554
Q1-2026 gross profit	1,286
Q1-2026 attributable profit	943
Q1-2026 cash and bank balances	4,380
Q1-2026 interest-bearing debt	1,261

Cash and bank balances, reviewed 30 June 2026	1,971
Interest-bearing debt, reviewed 30 June 2026	1,283
Non-controlling interests, reviewed 30 June 2026	0.2161
FY2026+ local price calibration on the H1-2026 reviewed half	1.0788
FY2026+ export price calibration on the H1-2026 reviewed half	0.8711
FY2026+ cash-cost calibration on the SAME half	0.9764
Services as a share of goods revenue, recalibrated on the half	0.0442
Depreciation correction from this name's own fundamental walk-forwar	1.0298
Export subsidy as a share of export revenue, FY2025 DISCLOSED rate	0.0086
Other income excluding the export subsidy, FY2025	20.697
Q1-2026 dividends payable	2,002
Q1-2026 finance costs	11
LENS INPUTS	
Replacement cost per annual tonne	130
Justified enterprise value per annual tonne	95
Justified EV/EBITDA	4.50x
Justified price/earnings	7.00x
Mid-cycle EBITDA margin	31.2%
Normalised revenue haircut	94.0%
SECTOR AND PEERS	
Egyptian nameplate capacity	76.0
Egyptian production 2025	72.6
Egyptian consumption 2025	53.9
Egyptian exports 2025	18.6
Dormant capacity under revival	12.6
Peer — Sinai Cement revenue	9,090
Peer — Sinai Cement profit	2,290
Peer — Sinai Cement market capitalisation	20,604
Peer — Misr Beni Suef revenue	5,700
Peer — Misr Beni Suef profit	3,946
Peer — Misr Beni Suef market capitalisation	13,730

Every cell on this sheet is BLUE — an input. Nothing here is computed from anything else here.
Everything on every other sheet that can be derived from these is a formula.

EGP, close 06-Aug-2026
mn — audited note 20
mn — audited note 21

audited: tax over pre-tax profit

Mt/yr
Mt/yr
t clinker / t cement

audited note 2.5

FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
92.0%	92.5%	93.0%	93.3%	93.5%
33.0%	32.0%	31.0%	30.5%	30.0%
18.0%	18.0%	17.5%	17.0%	16.5%
0.000	0.000	0.000	0.000	0.000
1.080	1.210	1.318	1.417	1.517
0.968	0.944	0.927	0.911	0.895
55.1	60.2	64.0	67.2	70.1
1.115	1.249	1.361	1.463	1.566
1.5%	3.0%	4.0%	4.8%	5.5%

FY2027E	FY2028E	FY2029E	FY2030E
2.7%	2.9%	3.1%	3.3%
18.1%	16.1%	14.9%	14.0%
13.0%	12.0%	11.2%	10.8%

USD/t capacity

EGP
EGP
EGP

USD/t
USD/t

Mt
Mt
Mt
Mt
Mt

Enterprise value to equity bridge

Present value of explicit free cash flow
Present value of terminal value
Enterprise value
Plus net cash at the valuation date
Less non-controlling interests
Equity value

TERMINAL VALUE AS % OF ENTERPRISE VALUE
Memo: spot price
Fair value less spot
Upside / (downside) to the cash-flow lens
Memo: enterprise value per annual tonne of capacity (USD)

Terminal value share links live to the DCF sheet — never typed. The bridge ADDS net
DEDUCTS minority interests; both signs are asserted in the build. The FY2025 divide
unpaid at 31 March 2026 is removed from cash: a buyer at today's price does not rec

EGP mn	Per share (EGP)
11,277	30.08
12,976	34.62
24,253	**64.70**
687	1.83
(0)	(0.00)
24,940	**66.53**
53.5%	
	77.00
	(10.47)
	(13.6%)
	96.4

: cash and
nd declared and
eive it.

Unit build — the PLANT drives the tonnes, and the prices co

Revision 3 assumed a price and divided revenue by it. That made the FY2025 check an identity t

FY2025 — THE PLANT IN TONNES (drivers in green, everything else de	
Kiln clinker capacity (Mt, audited note 1)	4.20
Kiln utilisation	91.7%
Clinker produced (Mt)	3.851
Share sold as clinker	33.8%
Clinker EXPORTED (Mt)	1.301
Clinker ground into cement (Mt)	2.551
Clinker factor (t clinker / t cement)	0.733
Cement produced (Mt)	**3.480**
Cement mill capacity (Mt, audited note 1)	5.00
Mill utilisation	69.6%
Cement exported, share of cement sold	17.7%
Cement EXPORTED (Mt)	0.630
Cement sold LOCALLY (Mt)	2.923
TOTAL DESPATCHES FY2025 (Mt)	**4.854**
Plus draw from finished-goods stock (Mt)	0.073
FY2025 PRICES — DERIVED FROM THE AUDITED REVENUE NOTE, AN	
Local sales of goods (audited note 4)	8,350
LOCAL CEMENT PRICE (EGP/t) — DERIVED	**2,856**
Export sales of goods (audited note 4)	3,356
Clinker price as a fraction of cement	0.650
Export cement-equivalent tonnes	1.475
EXPORT CEMENT PRICE (USD/t) — DERIVED	**46.2**
EXPORT CLINKER PRICE (USD/t) — DERIVED	**30.0**
Cement exports as a share of cement PRODUCED — the 30% st	18.1%
Cement SOLD (Mt)	3.553
FY2025 CASH COST — DISCLOSED, AND ALLOCATED TO ITS OWN DR	
Materials and fuel (note 5)	5,698
Transportation (note 5)	764
Overheads (note 5) plus cash administration (note 6)	1,021
Total cash cost (EGP mn)	7,484
Materials and fuel per tonne of CLINKER — the kiln burns it	1,480
Transportation per tonne DESPATCHED	157
Overheads and administration per tonne DESPATCHED	210
TOTAL CASH COST PER TONNE SOLD	**1,542**

Provisions and expected credit losses are NOT in this stack. They are operating charges that belong in the EBITDA bridge, but they are not cash cost per tonne. Revision 3 carried them here

THE BUILD — FY2025A THEN FY2026E TO FY2030E	
	FY2025A
Kiln utilisation (DRIVER)	91.7%
Clinker produced (Mt)	3.851

Clinker sold as clinker, share (DRIVER)	33.8%
Clinker exported (Mt)	1.301
Clinker ground (Mt)	2.551
Cement produced (Mt)	3.480
Mill utilisation	69.6%
Cement exported, share (DRIVER)	17.7%
Cement exported (Mt)	0.630
Cement local (Mt)	2.923
TOTAL DESPATCHES (Mt)	**4.854**
Local cement price (EGP/t)	2,856
Export cement price (EGP/t)	2,276
Export clinker price (EGP/t)	1,479
Local revenue (EGP mn)	8,350
Export cement revenue (EGP mn)	1,433
Export clinker revenue (EGP mn)	1,924
Goods revenue (EGP mn)	11,707
REVENUE (EGP mn)	**12,447**
Revenue per tonne despatched (EGP)	2,565
Materials and fuel (EGP mn)	5,698
Transportation (EGP mn)	764
Overheads and administration (EGP mn)	1,021
Cash cost (EGP mn)	7,484
Cash cost per tonne sold (EGP)	1,542
Provisions and credit losses (EGP mn)	78
EBITDA (AN OUTPUT)	**4,886**
EBITDA margin	39.3%
EBITDA per tonne (EGP)	1,007
Draw from finished-goods stock (Mt) (DRIVER)	0.073
VALIDATION — AND A PRICE TEST THAT CAN ACTUALI	**3.553**
Reconstructed FY2025 revenue	12,447
AUDITED FY2025 revenue	12,447
Difference	0.0%
Reconstructed FY2025 EBITDA	4,886
AUDITED FY2025 EBITDA (operating profit plus D&A)	4,886
Difference	0.0%

Rows 76-81 are a TIE, not a test: with prices derived from revenue, revenue reconstructs by construction. Revision 3 presented exactly this identity as "a test that can fail". It cannot.
The real test is rows 22, 26 and 27 — three DERIVED prices, which can be held against the mar
local EGP 2,856/t, export cement USD 46.2/t, export clinker USD 30.0/t.
The clinker figure sits roughly 30% BELOW the USD 44-48 the trade press quotes for Egyptian I
clinker. That gap is a live disagreement between the physical disclosure and the price indices, a
it is published rather than tuned away. It is the reason the volume base carries a sensitivity.

THE TWO CAPACITY CONSTRAINTS — BOTH LIVE, BOTH CHECKED E	
Kiln clinker capacity (Mt, audited note 1)	4.20

Peak clinker required across the forecast (Mt)	3.927
Peak kiln utilisation — must stay below 100%	**93.5%**
Headroom at the kiln (Mt of clinker)	0.273
Cement mill capacity (Mt, audited note 1)	5.00
Peak cement produced across the forecast (Mt)	3.751
Peak mill utilisation — must stay below 100%	**75.0%**
Headroom at the mill (Mt of cement)	1.249

Both constraints are now REAL. Clinker exports and domestic cement compete for the same kiln every tonne shipped as clinker is a tonne that could have been ground into cement worth severa times as much. Revision 3 could not see this at all — it carried one product, ignored clinker exports, and its kiln check therefore ran on a volume base 28% too small. On the physical disclosure its FY2030 forecast needed 103% of the kiln, not the 78% it published.

me OUT

:hat could not fail. Here the drivers are physical and all three realised prices are derived, so they ca

erived)

ND TESTABLE

IVER

e.

FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
92.0%	92.5%	93.0%	93.3%	93.5%
3.864	3.885	3.906	3.919	3.927

33.0%	32.0%	31.0%	30.5%	30.0%
1.275	1.243	1.211	1.195	1.178
2.589	2.642	2.695	2.723	2.749
3.532	3.605	3.677	3.716	3.751
70.6%	72.1%	73.5%	74.3%	75.0%
18.0%	18.0%	17.5%	17.0%	16.5%
0.636	0.649	0.644	0.632	0.619
2.897	2.956	3.034	3.084	3.132
4.807	**4.848**	**4.888**	**4.911**	**4.929**
3,328	3,727	4,063	4,368	4,673
2,147	2,288	2,389	2,462	2,525
1,395	1,487	1,553	1,601	1,641
9,640	11,017	12,326	13,471	14,636
1,365	1,484	1,537	1,556	1,563
1,779	1,849	1,880	1,913	1,934
12,784	14,350	15,744	16,939	18,132
13,349	**14,985**	**16,440**	**17,688**	**18,934**
2,777	3,091	3,363	3,602	3,842
6,130	6,798	7,373	7,885	8,393
824	931	1,023	1,105	1,186
1,101	1,244	1,367	1,476	1,585
8,056	8,972	9,763	10,467	11,165
1,676	1,851	1,997	2,131	2,265
84	94	103	111	119
5,210	**5,918**	**6,574**	**7,111**	**7,650**
39.0%	39.5%	40.0%	40.2%	40.4%
1,084	1,221	1,345	1,448	1,552
0.000	0.000	0.000	0.000	0.000
3.532	**3.605**	**3.677**	**3.716**	**3.751**

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VERY YEAR

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ın be tested against the market and disagree.

Relative multiples and normalised earnings power

NORMALISED EARNINGS BASE

FY2025 revenue, audited (the cyclical peak)
Haircut to the revenue base
Normalised revenue
Mid-cycle EBITDA margin
Normalised EBITDA
Less audited depreciation
Normalised EBIT
Normalised NOPAT
Memo: audited FY2023 EBITDA margin
Memo: audited FY2024 EBITDA margin
Memo: audited FY2025 EBITDA margin

RELATIVE LENS — EV/EBITDA ON NORMALISED EARNINGS

Justified EV/EBITDA
Implied enterprise value
Plus net cash
Less non-controlling interests
Equity value
Value per share (EGP)

NORMALISED-EARNINGS LENS

Justified price / earnings
Capitalised operating earnings
Plus net cash, at FACE
Less non-controlling interests
Equity value
Value per share (EGP)

Cash is added at FACE in both lenses rather than capitalised at the operating multiple.

12,447
94.0%
11,700
31.2%
3,651
(290)
3,361
2,560
22.0%
23.1%
39.3%

4.50x
16,427
687
-0.2161
17,114
45.65

7.00x
17,922
687
-0.2161
18,609
49.64

Discounted cash flow — the primary lens

Cost of capital built here, facility by facility, never pasted.

	FY2026E
Revenue	13,349
EBITDA margin	39.0%
EBITDA	5,210
Depreciation and amortisation	344
EBIT	4,916
Tax rate (effective)	23.8%
NOPAT (EBIT × (1 − t))	3,745
Plus depreciation	344
Less capital expenditure	(890)
Less change in working capital	(108)
FREE CASH FLOW TO THE FIRM	**1,545**
Glide fraction	0.0000
Forward cost of capital	27.60%
Discount factor	0.9409
PRESENT VALUE OF FCFF	1,454
TERMINAL BLOCK	
Replacement-cost invested capital, in TERMINAL-year pounds (EGP	51,191
Terminal NOPAT (year 5 NOPAT grown at g)	5,762
Memo: return on invested capital at replacement cost	11.3%
Memo: FY2025 return on BOOK invested capital	60.6%
Memo: reinvestment rate the RETIRED construction charged (g / ret	62.2%
Terminal value	31,227
Present value of terminal value	12,976
End-of-window discount factor (t = 4.417y, not the year-5 mid-point	0.4156
ENTERPRISE TO EQUITY BRIDGE	
Present value of explicit years (FY2026E-FY2030E)	11,277
Present value of terminal value	12,976
Enterprise value	**24,253**
TERMINAL VALUE AS % OF ENTERPRISE VALUE	**53.5%**
Cash and bank balances, reviewed 30 June 2026 — THE DISCLOSED	1,971
(memo) the roll-forward the previous edition had to use instead	3,201
(memo) what that roll-forward missed, per share	3.3421
Cash at the valuation date (30 June 2026)	1,971
Less interest-bearing debt, reviewed 30 June 2026	(1,283)
Net cash (ADDED — the company is net cash)	687
Less non-controlling interests (reviewed 30 June 2026)	-0.2161
Equity value	**24,940**
Shares outstanding (mn)	374.8674
FAIR VALUE PER SHARE (EGP)	**66.53**

COST-OF-DEBT INTEGRITY — THE EVIDENCE, NOT THE ASSERTION	
Euro share of the book (audited note 25)	91.1%
CIB facility rate — EGP corridor + 0.6%	20.60%
NBE/KfW facility rate — Euribor + 3.00%	5.49%
EBRD facility rate — Euribor + 4.35%	6.84%
ADOPTED blended cost of debt	**13.36%**
Effective rate computed FY2024 (interest / average debt)	20.85%
Effective rate computed FY2025	5.03%
Effective rate computed Q1-2026, annualised	3.73%
Pound-EQUIVALENT cost of debt under interest parity	**13.36%**

The blended rate on row 59 sits above the trailing effective rates on rows 60-62 because the book re-based mid-year from pound facilities to euro term debt, and interest on the under-construction alternative-fuel assets is capitalised rather than expensed. The gap is disclosed, not smoothed.
Row 63 loads the euro legs with expected pound depreciation; its effect is on Fundamental Valuation.
The glide on row 16 is derived from the POUND cost-of-debt path: the discount rate is a pound rate on pound cash flows, so the pound easing calendar sets its slope while the euro book sets its level.

FY2027E	FY2028E	FY2029E	FY2030E
14,985	16,440	17,688	18,934
39.5%	40.0%	40.2%	40.4%
5,918	6,574	7,111	7,650
417	491	565	643
5,556	6,140	6,606	7,069
23.8%	23.8%	23.8%	23.8%
4,232	4,677	5,032	5,385
417	491	565	643
(973)	(1,034)	(1,085)	(1,132)
(196)	(175)	(150)	(150)
3,480	**3,960**	**4,362**	**4,747**
0.3788	0.6818	0.8636	1.0000
24.09%	21.29%	19.60%	18.34%
0.7947	0.6478	0.5378	0.4521
2,766	2,565	2,346	2,146

Capital maintenar	2,560
Book depreciatior	643
Inflation on workii	159
Growth capital (R	-
Terminal free casl	3,310

	COST OF CAPITAL — BUILT HERE, F/
22.95%	Risk-free rate (observed EGP 10-yea
-3.40%	Less sovereign default spread
19.55%	Normalised risk-free rate
28.28%	Cost of equity (rf* + beta × premiu
27.60%	WACC — explicit window
13.36%	Cost of debt, blended by currency,
10.35%	Cost of debt after tax
3.78%	Debt weight D/(D+E)
1,135	Total interest-bearing debt
28,865	Market capitalisation
91.1%	Euro share of the debt book

1.074	Terminal beta, UNLEVERED at the c
20.02%	Terminal cost of equity
11.63%	Terminal cost of debt after tax
18.34%	WACC — terminal
31.68%	Memo: retired construction, risk-fre
340	Memo: sovereign double-count rem

ACILITY BY FACILITY (labels in column E:
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POUND-EQUIVALENT

bserved structure then re-levered

e NOT netted
oved (basis points)

Income statement — 3 AUDITED years + 5-year forecast

EGP mn

	FY2023
Revenue	6,043
Cost of sales	(4,760)
Gross profit	1,283
Gross margin	21.2%
General and administrative expenses	(184)
Provisions and credit losses	(20)
OPERATING PROFIT	**1,079**
Operating profit, opening the EBITDA bridge	1,079
Depreciation and amortisation	250
EBITDA	**1,330**
EBITDA margin	22.0%
Net finance and other income	(149)
Profit before tax	930
Income tax	(233)
Effective tax rate	25.0%
Attributable profit	**697**
Earnings per share (EGP)	1.81
Dividends declared	
Dividend per share (EGP)	
FY2025 check: components of non-operating income against	0.0000

FY2023-FY2025 revenue, cost of sales, administrative expenses, provisions, pre-tax profit, ta
attributable profit, earnings per share and depreciation are AUDITED figures. Operating pro
EBITDA, margins and the effective tax rate are formulas over them. Nothing historical is deri
by closing an assumption, which is what revision 1 had to do.

FY2024	FY2025	FY2026E	FY2027E	FY2028E
8,730	12,447	13,349	14,985	16,440
(6,643)	(7,389)			
2,087	5,058			
23.9%	40.6%			
(268)	(384)			
(55)	(78)			
1,764	**4,596**	**4,916**	**5,556**	**6,140**
1,764	4,596	4,916	5,556	6,140
257	290	344	417	491
2,021	**4,886**	**5,210**	**5,918**	**6,574**
23.1%	39.3%	39.0%	39.5%	40.0%
(258)	129	127	237	359
1,506	4,725	5,043	5,793	6,499
(346)	(1,125)	(1,201)	(1,380)	(1,548)
23.0%	23.8%	23.8%	23.8%	23.8%
1,160	**3,600**	**3,842**	**4,413**	**4,951**
3.02	9.49	10.25	11.77	13.21
1,102	2,002	2,136	2,454	2,753
2.94	5.34	5.70	6.55	7.34

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FY2029E	FY2030E
17,688	18,934
6,606	**7,069**
6,606	7,069
565	643
7,111	**7,650**
40.2%	40.4%
496	663
7,102	7,732
(1,692)	(1,842)
23.8%	23.8%
5,410	**5,891**
14.43	15.71
3,008	3,275
8.02	8.74

Balance sheet — 3 AUDITED years + 5-year forecast

EGP mn

	FY2023
Property, plant and equipment	
Assets under construction	
Intangible assets	
Total non-current assets	
Cash and bank balances	561
Inventories, receivables and debtors	
TOTAL ASSETS	**3,888**
Interest-bearing debt	90
Other liabilities	
Total liabilities	
Equity attributable to owners	**1,754**
Net (cash) / debt	(471)
Book value per share (EGP)	4.68
Return on equity	39.8%

THE AUDITED BALANCE SHEET CLOSES — A CHECK REVISION 1 C	
Total assets (audited)	8,784
Less total liabilities (audited)	(4,141)
Equals total equity	4,643
Equity attributable to owners plus minorities (audited)	4,643
Difference	**0.0000**

Revision 1 was offered EGP 2,894.13mn as total liabilities and rejected it because it would no
close; it derived EGP 4,140.99mn instead. The audited statements show 2,894.13 is total CUI
liabilities and the total is 4,140.99. The derivation was right, and row 25 now closes to zero.

FY2024	FY2025	FY2026E	FY2027E	FY2028E
	2,522			
	392			
	107			
	3,021	3,567	4,123	4,666
1,687	3,459	2,509	3,716	5,196
	2,303	2,411	2,607	2,782
5,849	**8,784**	**8,487**	**10,446**	**12,645**
761	1,135	1,135	1,135	1,135
	3,006	3,006	3,006	3,006
	4,141	4,141	4,141	4,141
2,303	**4,643**	**4,347**	**6,306**	**8,504**
(926)	(2,324)	(1,374)	(2,581)	(4,061)
6.14	12.38	11.60	16.82	22.69
50.4%	77.5%	88.4%	70.0%	58.2%

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FY2029E	FY2030E
5,186	5,675
6,929	8,906
2,932	3,081
15,047	**17,662**
1,135	1,135
3,006	3,006
4,141	4,141
10,906	**13,522**
(5,794)	(7,771)
29.09	36.07
49.6%	43.6%

Cash flow — audited FY2025 and the forecast, linked to the wat

EGP mn

	FY2025A
Attributable profit	3,600
Add back depreciation	290
Less change in working capital	
Cash from operations	**3,889**
Capital expenditure	(796)
Free cash flow to equity	**3,093**
Dividends declared	(2,002)
Closing cash	3,459
Memo: free cash flow to the firm	

The FY2025 column is the AUDITED outturn: attributable profit, depreciation and capital expenditure all read from the audited cash flow statement. The forecast columns LINK to the DCF and Income Statement sheets, so the statement and the valuation cannot disagree by construction.

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FY2026E	FY2027E	FY2028E	FY2029E
3,842	4,413	4,951	5,410
344	417	491	565
(108)	(196)	(175)	(150)
4,077	**4,633**	**5,267**	**5,825**
(890)	(973)	(1,034)	(1,085)
3,187	**3,661**	**4,233**	**4,740**
(2,136)	(2,454)	(2,753)	(3,008)
2,509	3,716	5,196	6,929
1,545	3,480	3,960	4,362

FY2030E
5,891
643
(150)
6,385
(1,132)
5,252
(3,275)
8,906
4,747

Summary financials — eight years on one screen

EGP mn

	FY2023
Revenue	6,043
EBITDA	1,330
EBITDA margin	22.0%
Operating profit	1,079
Attributable profit	697
Earnings per share (EGP)	1.81
GROWTH	
Revenue growth	
EBITDA growth	
Profit growth	

Every cell on this sheet is a link or a formula. Nothing is restated.

FY2024	FY2025	FY2026E	FY2027E	FY2028E
8,730	12,447	13,349	14,985	16,440
2,021	4,886	5,210	5,918	6,574
23.1%	39.3%	39.0%	39.5%	40.0%
1,764	4,596	4,916	5,556	6,140
1,160	3,600	3,842	4,413	4,951
3.02	9.49	10.25	11.77	13.21
44.5%	42.6%	7.2%	12.3%	9.7%
52.0%	141.8%	6.6%	13.6%	11.1%
66.3%	210.3%	6.7%	14.9%	12.2%

FY2029E	FY2030E
17,688	18,934
7,111	7,650
40.2%	40.4%
6,606	7,069
5,410	5,891
14.43	15.71
7.6%	7.0%
8.2%	7.6%
9.3%	8.9%

Probabilistic price map — ILLUSTRATIVE ONLY

Percentiles are the output of a 50,000-path simulation: pasted, class 2.

This map is NOT a valuation. It does not redraw when a valuation driver changes.

	One month
5th percentile	50.44
25th percentile	55.93
Median	59.45
75th percentile	63.21
95th percentile	70.09
Spot	77.00
Probability of finishing above spot	53.4%
Probability of finishing 10% or more above	17.0%
Probability of finishing 10% or more below	11.6%
Probability of TOUCHING +10% at any point	27.8%
Probability of TOUCHING -10% at any point	19.8%
Median versus spot	(22.8%)
Width of the 5th-95th band, as % of spot	25.5%

HOW WELL CALIBRATED IS THIS MAP? — MEASURED, NOT ASSERT

Windows scored	16
Skill against a random walk	(1.8%)
Coverage of the 50% band (nominal 50%)	56.3%
Coverage of the 80% band (nominal 80%)	100.0%
Coverage of the 90% band (nominal 90%)	100.0%
Cone width against the benchmark	1.23x

The bands cover MORE than their nominal share, so the map is too wide rather than mis-centr

Three months
43.92
53.71
60.46
67.97
83.17
77.00
55.6%
34.0%
23.0%
58.0%
45.5%
(21.5%)
51.0%

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Sensitivity — whole-model re-runs (class 3, pasted)

Each cell is a complete revaluation. THESE GRIDS DO NOT REDRAW.

Fair value per share (EGP): explicit-window cost of capital against te

		g = 3%
	24.60%	73.15
	26.10%	71.96
	27.60%	70.79
	29.10%	69.65
	30.60%	68.55

Fair value per share (EGP): explicit-window rate against TERMINAL

		terminal 16.3%
	24.60%	79.15
	26.10%	77.83
	27.60%	76.55
	29.10%	75.30
	30.60%	74.08

Fair value per share (EGP): beta

	0.60
Fair value	79.16

Fair value per share (EGP): margin shift

	-4%
Fair value	56.68

Fair value per share (EGP): net cash (EGP mn)

	-813
Fair value	62.53

Note the growth column of the first grid: HIGHER terminal growth gives a LOWER value, b
terminal return on replacement-cost capital sits below the hurdle. Read off the grid, never t
revision 3 carried this note unchanged after its own grid had reversed, and it contradicted i

erminal growth

g = 4%	g = 5%	g = 6%	g = 7%
72.39	71.43	70.23	68.72
71.21	70.27	69.09	67.61
70.06	69.14	67.98	66.53
68.94	68.03	66.90	65.47
67.84	66.96	65.84	64.45

rate

terminal 17.3%	terminal 18.3%	terminal 19.3%	terminal 20.3%
73.44	68.72	64.76	61.38
72.24	67.61	63.73	60.42
71.06	66.53	62.72	59.47
69.92	65.47	61.74	58.56
68.80	64.45	60.78	57.66

0.80	1.00	1.15	1.30
70.35	63.47	59.24	55.59

-2%	+0%	+2%	+4%
61.61	66.53	71.45	76.38

-63	687	1,437	2,187
64.53	66.53	68.53	70.53

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Per-share figures, ratios and reconciliations

	FY2023
Earnings per share (EGP)	1.81
Book value per share (EGP)	4.68
Price / earnings (at spot)	42.54x
Price / book (at spot)	16.45x
EBITDA per tonne (EGP)	
Return on equity	39.8%
Net (cash) / EBITDA	-0.35x
RECONCILIATIONS AGAINST THE AUDITED ACCOUNTS	
Shares issued (audited note 20)	378.7397
Less treasury shares (audited note 21)	-3.8723
Shares outstanding — ADOPTED	**374.8674**
Shares implied by the FY2025 dividend at EGP 5.34 per share	374.8674
Difference	**0.0000%**
Issued capital implied at EGP 2 par (EGP mn)	757
Q1-2026 revenue growth on Q1-2025	17.3%
FY2026 revenue implied by holding that growth	14,599
FY2026 revenue this model forecasts	13,349
The forecast against the run rate	(8.6%)
Q1-2026 gross margin	42.9%
FY2025 gross margin	40.6%
Q1-2026 attributable profit annualised at four times	3,772
FY2026 profit this model forecasts	3,842
The forecast against the annualised first quarter	1.8%
Q1-2026 net cash, free of the declared dividend	1,117
Net cash at the valuation date in this model	687

The share count is now read directly from the audited capital and treasury notes, and the FY202
dividend divides to the same count exactly. Revision 1 reached 374.87mn by triangulation and w
right; this is the confirmation rather than the estimate.

FY2024	FY2025	FY2026E	FY2027E	FY2028E
3.02	9.49	10.25	11.77	13.21
6.14	12.38	11.60	16.82	22.69
25.50x	8.11x	7.51x	6.54x	5.83x
12.53x	6.22x	6.64x	4.58x	3.39x
	1,007	1,084	1,221	1,345
50.4%	77.5%	88.4%	70.0%	58.2%
-0.46x	-0.48x	-0.26x	-0.44x	-0.62x

25

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FY2029E	FY2030E
14.43	15.71
29.09	36.07
5.34x	4.90x
2.65x	2.13x
1,448	1,552
49.6%	43.6%
-0.81x	-1.02x

Peer set and the Egyptian cement balance

	Revenue (EGP m
Arabian Cement (ARCC)	12,447
Sinai Cement (SCEM)	9,090
Misr Beni Suef Cement (MBSC)	5,700
Peer average price / earnings (excluding the subject)	
Subject premium / (discount) to the peer average	
THE EGYPTIAN CEMENT BALANCE	
Nameplate capacity (Mt)	76.0
Production 2025 (Mt)	72.6
Domestic consumption 2025 (Mt)	53.9
Exports 2025 (Mt)	18.6
Dormant capacity under revival (Mt)	12.6
Sector utilisation	95.5%
The subject as a share of national capacity	6.6%
Revival capacity as a share of consumption	23.4%
The subject's own volume as a share of national productio	6.7%

Every multiple here is RECOMPUTED from revenue, profit and market capitalisation rather t
quoted, because the published multiples for this peer set do not reconcile.

Profit (EGP mn)	Market cap (EGP	Price / earnings	Price / sales
3,600	28,865	8.02x	2.32x
2,290	20,604	9.00x	2.27x
3,946	13,730	3.48x	2.41x
		6.24x	
		28.5%	

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Net margin
28.9%
25.2%
69.2%